

1-2c Principles

In addition to the preceding characteristics and assumptions, the following four principles are an integral part of financial accounting:

- Measurement
- Historical cost
- Revenue recognition
- Expense recognition

The

measurement principle (A principle that requires that amounts be objective and verifiable.) determines the amount that will be recorded and reported. The measurement principle requires that amounts be *objective* and verifiable. An amount is objective if it is based upon independent, unbiased evidence. An amount is *verifiable* if it can be confirmed by a third party. Transactions between two independent parties, called **arm's-length transactions** (Transactions between two independent parties.) , provide amounts that are objective and verifiable.

To illustrate, assume that Aaron Publishers purchased the following building from Schenk Enterprises on February 20, 20Y1, for \$150,000:

Price listed by Schenk Enterprises on January 1, 20Y1	\$160,000
Aaron Publishers' initial offer to buy on January 31, 20Y1	140,000
Aaron Publishers' purchase price on February 20, 20Y1	150,000
Estimated selling price on December 31, 20Y3	220,000
Assessed value for property taxes, December 31, 20Y3	190,000

Aaron Publishers would record the building at the February 20, 20Y1, purchase price of \$150,000. This amount is both objective and verifiable, as it was the result of a transaction between two independent parties. Recording an item at its initial transaction price is called the

historical cost principle (A concept of accounting that states that an asset should be recorded and maintained in the accounting records at its initial transaction price.)

or

cost principle (A concept of accounting that states that an asset should be recorded and maintained in the accounting records at its initial transaction price.)

. Under the historical cost principle, amounts do not normally change until another transaction occurs.

To illustrate, the fact that the preceding building has an estimated selling price of \$220,000 on December 31, 20Y3, indicates that the building's value has increased. However, the \$220,000 is not recorded in the accounting records because Aaron Publishers has not sold the building. If, however, Aaron sells the building on January 9, 20Y4, for \$240,000, a profit of \$90,000 (\$240,000 – \$150,000) would be recorded by Aaron Publishers.

Revenue (Increases in owner's equity as a result of providing services or selling goods to customers.)

is the amount earned (received) from providing services or selling goods to customers. The **revenue recognition principle** (A concept of accounting that states that revenues are recorded when earned, which is when the services have been performed or products have been delivered to customers.)

determines when revenue is recorded in the accounting records. Normally, revenue is recorded when the services have been performed or goods are delivered to the customer.

Expenses (Amounts used to generate revenue; assets used up or services consumed in the process of generating revenues.)

are amounts used to generate revenue. The

expense recognition principle (A principle, sometimes called the matching principle, that requires expenses to be recorded in the same period as the related revenue; a concept of accounting in which expenses are matched with the revenue generated during a period by those expenses.)

, sometimes called the *matching principle*, requires expenses to be recorded in the same period as the related revenue. Doing so allows the reporting of a profit or loss for the period.